IN THE SUPREME COURT OF THE STATE OF HAWAI'I

TAX FOUNDATION OF HAWAI'I, a Hawai'i non-profit corporation, on behalf of itself and those similarly situated,

Plaintiff/Appellant,

vs.

STATE OF HAWAI'I,

Defendant/Appellee.

SCAP-16-0000462
Civil No. 15-1-2020-10

APPEAL FROM THE:
(1) FINAL JUDGMENT FILED JUNE 1, 2016 AND (2) ORDER GRANTING DEFENDANT'S MOTION TO DISMISS COMPLAINT FILED ON OCTOBER 21, 2015 (FILED ON NOVEMBER 10, 2016), FILED MAY 16, 2016
FIRST CIRCUIT COURT, STATE OF HAWAI'I
JUDGE: THE HONORABLE EDWIN C. NACINO

PLAINTIFF/APPELLANT TAX FOUNDATION OF HAWAII'S MOTION FOR RECONSIDERATION OF THE OPINIONS OF THE COURT

DECLARATION OF PAUL ALSTON
CERTIFICATE OF SERVICE

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The monetary stakes in this case are large—if the amount the State retained out of Oahu-based GET was reduced to reflect the actual costs enumerated in H.R.S. § 248-2.6(c) ("Subsection (c)"), $125 million or more would flow into the Honolulu County coffers for its rail project. Conversely, if the State is allowed to keep that sum, taxpayers (including the Tax Foundation) who are obligated to pay the Oahu GET surcharge will be forced to pay the amount wrongly diverted, in addition to the legitimate project costs, which adds direct economic injury to the insult of a badly managed project that is already far over budget.

Unfortunately, the Court here obscured the merits by devoting nearly all its attention (116 pages) to an unnecessary exegesis on the non-jurisdictional nature of standing and the showing of harm (not "injury in fact") required to seek declaratory relief under H.R.S. § 632-1. The majority undertook this analysis (and inaccurately stated that the Foundation sought declaratory relief (Opinion at 7)), even though: (1) the Tax Foundation's status as an economically aggrieved taxpayer was never seriously in doubt; (2) the Foundation predicated the Circuit Court's jurisdiction on five different statutes (H.R.S. §§ 603-21.5, -21.7, -21.9, 634-35, and 663-1) in addition to H.R.S. § 632-1; (3) the jurisdictional restriction in H.R.S. § 632-1 only restricts the issuance of declaratory relief in disputes with respect to taxes; and most importantly, (4) the Foundation requested four types of relief,[1] none of which was a declaratory judgment. ROA DKT 6 at 21-22.[2]

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[1]Consistent with HRCP 23(b)(2), the Foundation's complaint alleged that the State was acting in a manner that made "injunctive and declaratory relief" appropriate with respect to the class (ROA DKT 6 at 19, 134), but the complaint did not request declaratory relief. Id. at 21-22. The Foundation did not seek it on summary judgment, either. See id. at 196.

[2]As the Court explained in Mottl v. Miyahara, 95 Hawai'i 381, 391 n.13, 23 P.3d 716, 726 n.13 (2001), standing for taxpayers depends on just two things: (1) plaintiff must be a taxpayer who contributes to the particular fund from which the illegal expenditures are allegedly made (which the Foundation was, and is, as explained in the Declaration of Tom Yamachika ROA DKT 6 at 122-123); and (2) plaintiff must suffer a pecuniary loss by the increased tax burden (which the Foundation did, since its obligation to contribute to the surcharge was inflated by the State's excessive skimming). No one could reasonably dispute these two points, as explained in

The short analysis of the merits (labeled Part Three of the Majority Opinion), which follows the majority's jurisdictional opinion is deeply flawed. Specifically, Part Three:

(1) mischaracterizes the statute's two-step money distribution mechanism;

(2) disregards the Court's jurisprudence requiring that the amounts skimmed by the State actually be reasonably proportional to the costs actually incurred in assessing, collecting, and disbursing the surcharge;

(3) invokes a patently false argument about the justification for the 10% surcharge, ignoring the fact that Act 247 was adopted in 2005 solely to enable counties to levy a surcharge —and not to provide added tax revenue to the State's coffers (see § 1 of Act 247 Session Laws of 2005); and

(4) declares, by baseless fiat, that a fee intended to cover the costs associated with collecting less than 5% of the State's total tax income[3] is "reasonable" even though (a) the 10% skimmed by the State was more than the total cost of operating the State's entire tax collection machinery, and (b) the State refused to provide any estimate of the "contemplated costs" in Subsection (c).[4] If these errors were corrected,[5] the Court would reverse and remand for trial to

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Chief Justice Recktenwald's Concurrence. At worst (as noted below) the Foundation can be faulted only for not using the phrase "taxpayer standing." But, in Carboy v. Louie, 128 Hawai'i 89, 283 P.3d 695 (2011), the Court noted the "specific requirements which must be met before standing to taxpayers [may be] granted." Id. (quoting Juli v. Fasi, 62 Hawai'i 180, 184, 613 P.2d 653, 656 (1980)). The Court did not say they needed to recite the specific words, "taxpayer standing." And, of course, HRCP 8 requires parties to plead "facts," not conclusory statements of law.

[3]DOTAX annual reports (available at http://tax.hawaii.gov/stats/a5 lannual/a5 ltax annualsD) show that the State's tax revenues were as follows: FISCAL YEAR TOTAL REVENUE ($ billions) GET ($ billions) 2006 5.10 2.35 2007 5.31 2.55 2008 5.47 2.61 2009 4.94 2.41 2010 5.13 2.31 2011 5.29 2.49 2012 6.00 2.69 2013 6.54 2.94 2014 6.58 2.88 2015 6.90 3.04 2016 7.24 3.20

[4]Below, the State claimed to be unable to calculate the costs. ROA DKT 6 at 53-54; 309-310. In response, the Foundation provided both evidence of calculations that showed only modest costs (ROA DKT 6 at 144-149) and expert opinion testimony (ROA DKT 6 at 278-279) that the costs could be calculated.

determine whether the costs were reasonably proportional to the collections instead of sua sponte directing entry of a summary judgment that is unsupported by undisputed material facts of record.[6]

This is harsh criticism, but it is well-founded. Specifically:

The Court acknowledges that it is supposed to resolve questions of statutory interpretation by giving effect to all parts of the statute if it can "legitimately give force to and preserve all the words of the statute (Majority Opinion at 65) (quoting Camara v Agsalud, 67 Haw. 212, 215-16, 685 P.2d 794, 797 (1984)). This entails, "if rational and practicable, [giving] effect to all parts of a statute and [seeing] that no clause, sentence, or word shall be construed as superfluous … or insignificant …." Id. (citation omitted).[7]

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[5]So far as can be determined, the last time—and perhaps the only time—this Court has granted a Motion for Reconsideration to change the outcome of an appeal outright from affirmance to remand for trial in a civil case was in Clog Holdings NV. v. Bailer. The Court's original decision upheld a summary judgment ruling on the premise that it was supported by "evidence in the record." 92 Hawai'i 374, 385, 992 P.2d 69, 80 (2000), opinion ordered depublished, No. 18104, 2000 LEXIS 109 (Apr. 20, 2000). When the appellant complained that summary judgment requires the absence of genuine issues of material fact, not just evidence of one side's position, the initial ruling by then-Justice Klein was abandoned. This case is similar—and the same result should occur—because the command that the Circuit Court render judgment for the State on remand simply ignores the disputed facts regarding the disparity between the authorized costs and the collections.

[6]Although the parties filed cross-motions for summary judgment (which Judge Nacino never reached because he wrongly dismissed based upon lack of standing), those competing motions were grounded on different views of the facts regarding disparity between the amount skimmed and the "costs" as defined in Subsection (c). Given the Court's view of the law, neither motion was viable.

[7]The Court is also required to heed the doctrine of "constitutional avoidance," which requires statutes to be interpreted, if possible, in a manner that avoids constitutional issues. As the Intermediate Court of Appeals explained in Ferris Trust v. Planning Comm'n, 138 Hawai'i 307, 313, 378 P.3d 1023, 1029 (App. 2016): "The rules of statutory construction dictate that, if possible, [the Court] must interpret a statute to avoid violating constitutional provisions. Life of the Land, Inc. v. West Beach Dev. Corp., 63 Haw. 529, 531, 631 P.2d 588, 590 (1981); see 2A Norman Singer & Shambie Singer, Sutherland Statutory Construction § 45:11 (7th ed. 2015) ('The fact that one among alternative constructions involves serious constitutional difficulties is reason to reject that interpretation in favor of a reasonable, constitutional alternative, if available.')." Here, since the amount skimmed from Oahu is vastly more than the "costs," while

Then the Court says (at 66) that, in this context, the "scope of subsection (c) becomes clear" as simply an explanation of "the broad range of costs contemplated by the legislature in determining that 10% was an appropriate retention." (Emphasis added).

However—despite the command of Camara—the Court then gives utterly no significance to this "explanation." Instead, the term "costs" is denied any force or effect by allowing the State to skim the entire 10%—regardless of the disparity between the actual costs and the amount that would be due if the "costs contemplated" were actually used to calculate the amount to be skimmed. The Court says this is permissible because (1) nothing in the remaining portions of Section 2.6 "suggests a requirement to engage … a calculation and reimbursement" or "establishes a procedure for remitting the funds in excess of the State's withholding." The Court then says the result is supposedly neither "absurd" nor "unjust." That conclusion is wrong for four reasons.

First, depending upon the size of the gap between the amount calculated using the actual contemplated costs and 10%, the result could be either reasonable (small gap) or illegal, as well as unjust and absurd (large gap). This Court's decisions in State v. Medeiros, 89 Hawai'i 361, 973 P.2d 736 (1999) and Haw. Insurers Council v. Lingle, 120 Hawai'i 51, 201 P.3d 564 (2008), teach that government collections must reasonably correlate to actual costs and, if they don't, the excess amounts are taxes, not fees. This analysis requires some degree of precision. Thus, in Insurers Council, the Court determined that a modest $3.5 million was wrongly diverted into the State's general fund as an illegal tax. In Medeiros, the Court examined whether a charge of $250 was an improper tax. It did the same with respect to a $100 fee in Wolf v. Hawai'i County

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the amounts that the same formula would skim from, say, Kaua'i (which may in fact approximate only the actual costs, the disparate treatment of Oahu taxpayers is cause for constitutional concern. If the formula produces an excessive amount when applied to one county but not others, the formula cannot be deemed constitutionally sound."

Council, No. 22984, 2004 WL 434863 (Haw. Mar. 9, 2004) (SDO). In each case, the Court analyzed whether the fee was "reasonably proportionate" to the benefit received and the government service provided. Yet here, the Court blithely endorses—without any factual analysis—the diversion of an unearned amount fully 1,000,000 times larger than the charge in Wolf without any basis for doing so.[8] In fact, nothing in the record shows that the amounts charged was, in fact, "reasonably proportionate" to the amount skimmed by the State.[9]

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[8]In recent years, the amount of GET generated on Oahu exceeds by more than $2 billion the amount generated on the neighbor islands combined. It is, for example over 30 times as much as has been collected on Kaua'i. Hence, the probability that Section 2.6 skims more than was reasonably needed to cover the "contemplated costs" is vastly greater on Oahu than elsewhere. In its annual reports titled "General Excise and Use Tax Liability by District" (available at http://tax.hawaii.gov/stats/a5 3txcolrptarchive/, which the Court may judicially notice), DOTAX reported the following annual GET collections on a county by county basis: Year Oahu Maui Hawai'i 2006 $1,986,973,143.00 $169,972,114.00 $132,715,785.00 2007 $2,141,992,052.00 $189,947,823.00 $150,910,935.00 2008 $2,191,509,866.00 $194,196,013.00 $159,918,172.00 2009 $2,012,820,689.00 $184,033,150.00 $154,336,988.00 2010 $1,970,035,663.00 $157,323,023.00 $128,575,580.00 2011 $2,133,736,300.00 $167,643,113.00 $132,319,812.00 2012 $2,331,669,232.00 $172,512,163.00 $127,966,721.00 2013 $2,540,962,480.00 $187,156,140.00 $152,671,219.00 2014 $2,477,323,091.00 $181,580,088.00 $155,235,758.00 2015 $2,616,414,326.00 $198,769,534.00 $169,436,425.00 2016 $2,732,644,075.00 $208,295,495.00 $187,491,623.00 2017 $2,768,369,388.00 $204,651,828.00 $181,834,840.00 Skimming from the $2.7 billion collected on Oahu is far, far different than skimming the same fraction out of the $84 million collected on Kaua'i. The former yields more than the entire DOTAX operating budget; the latter yields barely $1 million, which is far closer to being a reasonable approximation of the actual costs incurred if assessing, collecting and disbursing the surcharge.

[9]The Supreme Court of Idaho has rendered a number of decisions that explain the relevant considerations. See Hill-Vu Mobile Home Park v. City of Pocatello, 402 P.3d 1041, 1046-47 (Idaho 2017). There, the Court explained that when fees or charged are imposed to raise revenue, they are disguised taxes and must be justified as such. Likewise, in Stewart v. Verde River Irrigation and Power Dist., 68 P.2d 329, 335-36 (Ariz. 1937), the Arizona Supreme Court amplified upon this concept of a surplus being created by an excessive user fee and thus being treated as a tax. Stewart stated: "[w]e come then to the one question in the case which seems to be somewhat difficult of determination, and that is, whether the fee fixed by the statute is beyond the boundaries of that permissible to legislative action. In so determining, there are two factors which must be considered, (a) was the fee based upon the theory of paying the reasonable expenses to the state of furnishing the service, or was it fixed for the purpose of returning a surplus revenue to the state, and (b) if the former be true, was the scale of payment in reasonable proportion to the services rendered. To illustrate, if the expense to the state of conducting a certain department, which is maintained for the purpose of rendering services to individuals who

Nothing in Section 2.6 was intended to create a discriminatory added GET burden on Oahu taxpayers for the State's benefit. Yet, taking more than the "contemplated" costs does exactly that by skimming more than is "reasonably proportionate" to the actual costs of collection.

Second, the Court inexplicably assumes—as a factual matter—that there is some "just" and non-"absurd" cost-based relationship between the 10% retention and the actual "contemplated" costs identified in accordance with Subsection (c). But, if the amount skimmed annually at 10% is $30 million (or more than the total DOTAX budget) and the enumerated costs in Subsection (c) actually total only $3 million—a ratio of 10 to 1—then no rational person concerned about avoiding injustice to Oahu taxpayers and avoiding absurdity would suggest that it is appropriate to read Section 2.6 to permit the State to make that amount in excess of its costs.[10] Here, there is nothing the State or the Court can say that resolves this question with the certainty required to summarily reject the Foundation's claim.[11] Rather, on this record, the Court cannot say what is true, for the State simply refused to acknowledge the actual costs incurred

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profit directly thereby, is $50,000 a year, and the fees charged are so fixed by the Legislature that it may reasonably be anticipated that the annual returns will approximate the cost of the department, and no more, obviously the purpose of the Legislature was not to make a profit, but to pay expenses. If, on the other hand, the probable costs of maintenance were $50,000, but the fees were such that it might reasonably be anticipated the returns would be $500,000, it is equally plain that it must be assumed the real purpose of the Legislature was revenue for the general expenses of the state, and not merely the maintenance of the department which furnishes the service." (Emphasis added).

[10]Conversely, if actual practice showed a close correlation between the two figures, that would justify the Court's conclusion. The fact that the State recently reduced the amount skimmed from 10% to 1%, Act 1, SLH 2017 (1st Sp. Sess.), would indicate that the costs were no more than 1/10th of the amount collected. Even that cannot be characterized as being "reasonably proportionate."

[11]As the California Supreme Court has observed, "fees" are tied to costs; when the amounts collected are more than needed to cover the costs, the excess amounts are taxes. Pennell v. City of San Jose, 721 P.2d 1111, 1118 (Cal. 1986), aff'd. on other grounds, 485 U.S. 1 (1988).

because it seems of the stunning disparity between the contemplated costs and the vast amounts skimmed into the general fund.[12]

Third, the notion that there is no mechanism for calculating and reconciling the "costs" ignores the fact that Section 2.6 prescribes a multi-step process for handling the surcharge proceeds. First, subsection (a) commands that within "ten days after collection" the director of finance is to put the money collected into "special accounts" maintained by the State and deduct 10%. Then, subsections (b) and (d) require the director—on a quarterly basis—to deduct and withhold the costs and transfer the "remaining balance" over to the counties. If the initial 10% deduction was the only amount to be deducted, there would be no need for the delayed two-step distribution and there would be no need to refer to the "deduction and withholding of the costs" in connection with the delayed quarterly distribution to the counties.

Fourth, the Foundation's argument about the discriminatory impact of Section 2.6 was more nuanced that the Court acknowledges. Obviously, there was no discrimination insofar as the State allowed every county to impose a surcharge and exposed the taxpayers in each county to the burden of the State's cost recovery scheme. Rather, the Foundation's argument reflected the fact that the magnitude of the Oahu-based collections exceeded DOTAX's entire operating budget whereas the amounts that would be collected from the neighbor islands under the same scheme would be much more modest and, therefore, closer to the actual costs incurred in assessing, collecting, and disbursing the surcharge to each county. In other words, the illegality flowed from the fact that Oahu paid so much more than anyone could think was a fair approximation of the actual costs, not the fact that it alone was paying anything to the state. Even if there was some doubt about what the actual costs might be, no one could reasonably have

[12]The State's evasiveness only makes sense if the facts would not be helpful to its cause.

expected that the costs would exceed DOTAX's total budget for assessing, collecting and disbursing all of the State's other tax revenue.

Related to this, the Court said the collections from Oahu could be justified by concern about alleged costs incurred by State agencies associated with services they must provide "due to the implementation of the mass transit rail system." Opinion at 70. However, Act 247 was only to enable county surcharges and recover the "contemplated costs." It was never intended to impose an added GET burden on Oahu taxpayers. Through Section 2.6, the State only sought cost recovery, not added revenue attributable to a discriminatory GET tax on Oahu taxpayers. There is no basis for the Court to suggest Section 2.6 can be justified as a taxing statute designed to generate tax revenue for the State.

This Motion should be granted and the case remanded for further proceedings.

DATED: Honolulu, Hawai'i, April 15, 2019.

/s/ PAUL ALSTON
PAUL ALSTON
Attorney for Plaintiff/Appellant
TAX FOUNDATION OF HAWAI'I

DECLARATION OF PAUL ALSTON

I, Paul Alston, do hereby declare and state under penalty of perjury that the following facts are true and correct:

1. I am an attorney with Dentons US LLP and am one of the lawyers for Plaintiff/ Appellant Tax Foundation of Hawai'i in this action.

2. I make this Declaration in support of Plaintiff-Appellant Tax Foundation of Hawai'i's Motion for Reconsideration of the Opinions of the Court ("Motion").

3. I certify that the foregoing Motion is presented in good faith and not for purposes of delay.

I declare under penalty of perjury that the foregoing is true and correct.

DATED: Honolulu, Hawai'i, April 15, 2019.

/s/ PAUL ALSTON
PAUL ALSTON
Attorney for Plaintiff/Appellant
TAX FOUNDATION OF HAWAI'I

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that a true and correct copy of the foregoing document will be served on counsel of record indicated below through JEFS upon the filing hereof:

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